WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BRUNEI

Asia

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Bandar Seri Begawan (Brunei-Muara District)	Capital and seat of government, the central bank and the main financial institutions; base for most professional and business services	Financial services, Islamic finance, professional services, tourism
Pulau Muara Besar	Site of the Hengyi refinery and petrochemical complex, Brunei's largest foreign direct investment; Phase II will lift crude capacity to about 20 million tonnes a year, with mechanical completion targeted for end-2028	Refining, petrochemicals, downstream supply chains
Muara Port	Main container gateway, run since 2017 by a Brunei–Guangxi Beibu Gulf joint venture; an expansion due by end-2027 will more than double capacity from about 220,000 to 500,000 TEUs	Port logistics, shipping, regional transhipment
Belait District (Seria / Kuala Belait)	Historic heart of onshore and offshore oil and gas production and associated downstream industry, including methanol and urea	Upstream oil and gas, oilfield services, chemicals
Terunjing Industrial Park	Brunei's first Free Trade Zone (235 acres), designed for trade, warehousing and light processing	Logistics, warehousing, light manufacturing
Industrial parks managed by Darussalam Enterprise (26 nationwide)	Serviced sites offering foreign and local investors ready access to land, utilities and permits	Halal food, manufacturing, technology, SMEs
Marine and aquaculture projects	New marine maintenance and decommissioning yards and the Pure Salmon aquaculture facility are due to start in 2026, supporting food security and marine services	Aquaculture, food processing, marine engineering

INVESTOR ENTRY ROUTES

- Brunei Economic Development Board (BEDB), under the Ministry of Finance and Economy, is the frontline agency for foreign investors and secures approval from the Foreign Direct Investment and Downstream Industry Committee

- Darussalam Enterprise (DARe) provides business support, manages 26 industrial parks and helps investors obtain permits and licences
- Investment Incentives Order 2001 offering pioneer-status tax relief of up to 11 years (up to 8 years for non-pioneer enterprises) and relief on qualifying agricultural, forestry and fishery export profits
- Competitive tax regime: corporate income tax of 18.5% applied equally to local and foreign companies, with no personal income, sales or export taxes; 100% foreign ownership of incorporated companies is permitted, subject to resident-director rules
- Brunei dollar pegged at par to the Singapore dollar, with both currencies accepted in each country; Brunei has accepted IMF Article VIII obligations, with no restrictions on current international payments and transfers
- Terunjing Free Trade Zone and DARe industrial parks for trade, logistics and processing investment
- Investor protection through the Brunei Darussalam Arbitration Centre, a Commercial Court, the International Arbitration Order 2010, and membership of ICSID and the New York Convention

MARKET-ENTRY OBSERVATION

Brunei in October 2026 offers a high-income, politically stable and financially sound base on the edge of the South China Sea, with GDP per capita of around $34,700 and an economy returning to growth. GDP rose 0.7% in 2025, led by a 3.1% increase in oil and gas output, and accelerated to 4.8% year on year in the fourth quarter; growth of 0.3% in Q1 2026 and a flat Q2, when services grew 1.6% and investment rose sharply, set the stage for 2026 growth that the government estimates at 1.5–2.4% and ADB at 1.6%. Inflation is low at 0.5% (August 2026), the 2025 merchandise trade surplus was B$5.06 billion, and inward FDI stock stood at $7.1 billion in 2025. Momentum is strongest downstream: Phase II of the Hengyi complex at Pulau Muara Besar was launched in January 2026 and awarded major process-technology contracts in October 2026, while the Muara Port expansion will more than double container capacity by end-2027.

Brunei's main structural challenge is its reliance on hydrocarbons, which account for about half of GDP and 74.9% of export value, with a fiscal deficit forecast at B$3.1 billion for FY2025/26. The government is responding with expenditure control in a B$6.3 billion 2026/27 budget, efforts to raise non-oil revenue and a clear diversification agenda under Wawasan Brunei 2035, which prioritises downstream oil and gas, food, tourism, ICT and services. Chemicals already contribute 22.2% of exports thanks to downstream investment, and the private sector's share of the workforce has risen from 53% to 70% over the past decade. For investors, this creates a government actively seeking partners in petrochemicals, aquaculture and halal food, logistics and digital services, supported by generous incentives, a stable currency and ASEAN-wide market access.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Reliance on oil and gas	Hydrocarbons account for about half of GDP and three-quarters of exports, so output and prices drive growth, as when offshore maintenance briefly lowered production in 2025	Wawasan 2035 diversification is opening downstream, food, logistics and digital opportunities; investors can position in the growing non-hydrocarbon economy
Fiscal deficit	A deficit forecast at B$3.1 billion in FY2025/26 is being addressed through spending control and new non-oil revenue	Low inflation, a stable currency peg and a trade surplus support stability, and the policy push for private investment creates partnership openings in priority sectors
Small domestic market	A population of about 0.5 million limits domestic demand for consumer-facing investment	Use Brunei as an ASEAN, RCEP and CPTPP-linked export base, and draw on BIMP-EAGA and the Guangxi–Brunei Economic Corridor
Land and property rules	Only citizens can own land outright; others may hold property for up to 99 years, and transfers need approval from His Majesty in Council, which can take time	Locate in DARe industrial parks or the Terunjing Free Trade Zone, where serviced sites simplify access to land
Labour and skills	Expatriate hiring is governed by a quota system, and ADB notes skills mismatches, particularly in ICT	Use fast-track quota approvals for new companies (cut from 21 to 7 days) and partner with universities on training, as

Issue	Potential Impact	Possible Mitigation
		Hengyi has done with Universiti Brunei Darussalam
Local content and director residency requirements	Local content and hiring targets apply in oil and gas and in government ICT projects, and locally incorporated companies need resident directors	Plan local partnerships early and seek BEDB guidance on exemptions and supplier-development opportunities
Sharia Penal Code	Provisions fully implemented in 2019 restrict certain personal conduct; a moratorium applies to the death penalty, and no cases directly affecting US investors have been recorded	Brief expatriate staff on local law and take legal advice on corporate policies; the commercial legal framework, Commercial Court and arbitration centre remain investor-focused

INVESTOR RISK NOTE

Brunei's risk profile is that of a small, wealthy and highly stable economy whose near-term performance is linked to the hydrocarbon cycle. Political continuity, a currency pegged at par to the Singapore dollar, low inflation, a well-capitalised and highly liquid banking sector and a B$5.06 billion trade surplus in 2025 provide a predictable operating environment, while the commercial legal system, arbitration centre and accession to ICSID and the New York Convention protect investors. The principal considerations are dependence on oil and gas, the current fiscal deficit, a small domestic market and regulatory features such as land rules, labour quotas and local-content requirements, all of which can be managed through industrial-park locations, early engagement with BEDB and local partners. Investors should also take legal advice on the Sharia Penal Code as it applies to staff conduct. The return to growth from late 2025, the launch of Hengyi Phase II and the Muara Port expansion show that diversification is moving from plan to delivery.

MARKET ACCESS

Brunei is a member of ASEAN, with preferential access across the region, and is party to the Regional Comprehensive Economic Partnership (RCEP), which it ratified in 2021, and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), in force for Brunei since July 2023, which links it with partners including Japan, Australia and Canada. It is also a WTO member and a partner in the Brunei–Indonesia–Malaysia–Philippines East ASEAN Growth Area (BIMP-EAGA), whose 2026 meetings Brunei is hosting. Exports are dominated by mineral fuels (74.9% in 2025) and chemicals (22.2%), with Australia, China and Singapore the largest destinations, and China–Brunei trade reached $2.8 billion in 2024. A direct shipping route between Muara and Qinzhou in China has cut transit times to about a week and reduced shipping costs by around 30%, strengthening Brunei's role as a logistics link between ASEAN and China.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prime Minister's Office (His Majesty Sultan Haji Hassanal Bolkiah)	Centre of executive authority; His Majesty is also Minister of Finance and Economy and sets national priorities under Wawasan Brunei 2035	Primary reference point for strategic direction and high-level investment partnerships
Brunei Economic Development Board (BEDB)	Frontline investment promotion agency; steers projects through the Foreign Direct Investment and Downstream Industry Committee	Standard first point of contact for market entry, incentives and approvals
Ministry of Finance and Economy	Leads fiscal policy, the national budget and diversification planning, and oversees BEDB, DARe and national statistics	Key counterpart for incentive certificates and policy dialogue
Brunei Darussalam Central Bank (BDCB)	Monetary and financial regulator; manages the currency arrangement with the Singapore dollar and supervises a well-capitalised banking sector	Relevant for banking, Islamic finance, fintech and currency matters

Actor	Why It Matters	Waverley Engagement Angle
Darussalam Enterprise (DARe)	Manages 26 industrial parks and supports businesses with permits and licensing	Practical partner for site selection and operational set-up
Darussalam Assets	State holding company and joint-venture partner in Muara Port with Guangxi Beibu Gulf International Port Group	Relevant for logistics, port and state-linked co-investment opportunities
Hengyi Industries / Damai Holdings	Operator of the Pulau Muara Besar complex, 70% owned by Zhejiang Hengyi Group and 30% by Damai Holdings under the government's Strategic Development Capital Fund	Anchor for petrochemical supply-chain, services and downstream opportunities linked to Phase II

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Brunei Economic Development Board and Darussalam Enterprise run regular investor outreach and are the main entry channels for foreign companies. Regionally, the BIMP-EAGA Business Council (Brunei) and Brunei's representatives on the ASEAN Business Advisory Council connect investors with private-sector networks across Brunei, Indonesia, Malaysia and the Philippines, and Brunei's hosting of the 2026 BIMP-EAGA meetings offers timely access to these forums. The Guangxi–Brunei Economic Corridor provides a framework for cooperation in aquaculture, spice processing, the digital economy and green technology. UK companies can draw on the Department for Business and Trade's in-market support, with UK–Brunei trade rising to £256 million in the four quarters to Q1 2026, while IMF Article IV reviews and ADB economic outlooks provide authoritative independent analysis.

INVESTOR PROFILE BEST SUITED

Brunei best suits investors seeking a stable, high-income and well-governed base with ASEAN, RCEP and CPTPP access: petrochemical and engineering firms positioned to serve the Hengyi Phase II expansion and its supply chain; logistics and port operators benefiting from Muara's capacity growth and direct China links; aquaculture, halal food and agribusiness investors aligned with food-security priorities; and ICT, Islamic finance and fintech firms supported by the Digital Economy Masterplan. Long-term strategic investors and sovereign or institutional partners comfortable with a small home market and a partnership-led approach with state entities are particularly well placed.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage BEDB on project fit and incentives
Open early dialogue with the Brunei Economic Development Board to test alignment with Wawasan 2035 priorities and secure pioneer-status or other incentives under the Investment Incentives Order.

STEP 2: Secure a site through DARe or the Terunjing Free Trade Zone
Use serviced industrial parks to simplify land access, utilities and permitting, given the rules on land ownership.

STEP 3: Map opportunities around Hengyi Phase II and Muara Port
Identify supply, services and downstream openings linked to the refinery expansion and the port's capacity growth to 500,000 TEUs.

STEP 4: Plan local partnerships, staffing and compliance
Arrange resident directors, local-content commitments and labour-quota approvals early, and take legal advice on local law, including the Sharia Penal Code.

STEP 5: Structure for regional market access
Use ASEAN, RCEP, CPTPP and BIMP-EAGA preferences, and the direct Muara–Qinzhou shipping link, to serve wider regional markets from a Brunei base.